



Figure 25.2 Note: weekly scale. The bottom of this board (A) is flat followed by plunge B. A broadening top appears at E.

The figure shows the board portion of the pattern as the horizontal line at A. Price moves sideways for about two months and finds support on the line. Sometimes the bottom of the pattern isn't flat, but the sideways path should be obvious.

I like to see price touch the board often, setting up a support area. The length of the board is often months and in rare cases can be a year or longer.

Board. The board portion of the pattern is the flat support region (A) before the plunge (B). It does not include the plunge.

Plunge. Price drops after the board ends. The plunge varies from a small amount (single digits) to 98% with the median plunge measuring 14% (average 19%) for those patterns with upward breakouts. As I mentioned, the plunge is the drop from the end of the line at A to the bottom at B.

Volume. Volume trends upward from the start of the board to the bottom of the plunge. Often, you'll see volume rise as price plunges, especially at or near the bottom.

Breakout direction. This is always upward, by definition. An upward breakout occurs when price closes above the top of the chart pattern. Ignore